FREIGHT DISPATCH SOP

CARRIER ONBOARDING & OPERATIONAL REFERENCE MANUAL

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Scope: Dispatch & Carrier Setup

1. FREIGHT ECOSYSTEM & STAKEHOLDER ROLES

SHIPPER (LOAD OWNER)

The entity/facility that owns the cargo and requires goods transported from origin to destination. Hires freight brokers or direct carriers.

FREIGHT BROKER

Licensed intermediary connecting shippers with qualified carriers. Negotiates freight rates and pays carriers for completed loads.

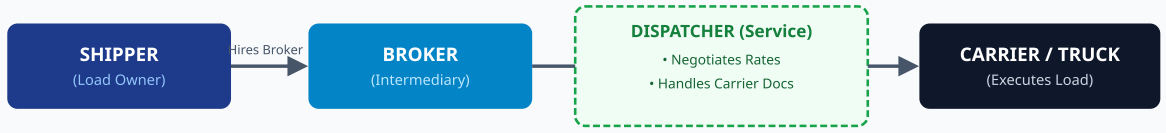
FREIGHT DISPATCHER

Represents the carrier. Searches load boards, negotiates rates with brokers, handles paperwork, and manages driver logistics.

MOTOR CARRIER (TRUCK)

The licensed transport entity providing equipment and drivers to physically move cargo between locations under FMCSA compliance.

Freight Transaction Flow & Dispatch Positioning



2. DISPATCHER ROLE & CORE OPERATIONAL MANDATE

- **Load Board Sourcing:** Continuously monitor load boards (DAT, Truckstop) to locate suitable, high-paying freight matching carrier equipment specifications.
- **Rate Negotiation:** Negotiate load rates directly with brokers to maximize gross revenue per mile for the carrier.
- **Document Handling:** Execute Carrier-Broker agreements, Rate Confirmations (Rate-Cons), and submit required onboarding packets.
- **Payment Regulation & Safeguards:** Brokers issue payments *strictly and exclusively into the Motor Carrier (MC) owner's official bank account*. Dispatchers never receive direct freight payments.

MC TARGET AUTHORITY AGE	TARGET WEEKLY REVENUE (BOX/HOTSHOT)	TARGET WEEKLY REVENUE (OTR SEMI)
4 – 5 Months Min.	**$5,000+ / Week**	**$6,000+ / Week**

3. CARRIER QUALIFICATION & ONBOARDING CHECKLIST

Before dispatching loads, verify and collect all required carrier compliance documentation:

MANDATORY CARRIER DOCUMENT CHECKLIST

1. **Valid Driver's License:** Commercial Driver's License (CDL) or standard driver's license matching equipment requirements.
2. **Certificate of Insurance (COI):** Must list company name and address, with minimum coverage:
   - **Auto Liability:** $750,000 to $1,000,000 coverage.
   - **Cargo Insurance:** $100,000 cargo coverage required.
   - **Certificate Holder:** Dispatch company / company address listed as holder.
3. **Truck Registration Sheet:** Official state registration for all active trucks/trailers.
4. **Equipment Photos:** Clear photos of the truck, trailer, and accessories.
5. **Notice of Assignment (NOA):** Required if carrier uses a factoring company for payment processing.

4. EQUIPMENT SPECIFICATIONS & OPERATIONAL PARAMETERS

EQUIPMENT TYPE	STANDARD LENGTH	WEIGHT / PAYLOAD CAPACITY	REQUIRED ACCESSORIES / NOTES
Box Truck	24 ft / 26 ft / 28 ft	10,000 lbs – 17,000 lbs	Lift Gate, Pallet Jack
Hot Shot	30 ft / 40 ft	Varies by setup	Binders, Straps, Tarps, Chains
Dry Van	48 ft / 53 ft	40,000 lbs – 48,000 lbs	Enclosed general freight
Reefer	48 ft / 53 ft	40,000 lbs – 48,000 lbs	Temperature-controlled (Cold / Hot)
Flatbed	48 ft / 53 ft	40,000 lbs – 48,000 lbs (100k gross)	Open deck transport requiring strapping/securing
Step Deck	48 ft / 53 ft	Matches Flatbed specifications	Lower deck height for taller cargo
Power Only	N/A (Tractor Unit)	Variable by trailer attached	Tractor attached in front of pre-loaded trailers

5. DRIVER & VEHICLE CLASSIFICATION PROTOCOL

CAB CONFIGURATIONS

- **Day Cab:** Local runs without sleeping quarters; driver returns home or uses hotels.
- **Night Cab (Sleeper Cab):** Equipped with a sleeping compartment for OTR long-haul journeys.

DRIVER OPERATIONS & ELD COMPLIANCE

- **Solo Driver:** Limited to 11 hours maximum driving time per FMCSA Hours of Service (HOS).
- **Team Drivers:** Alternating drivers allowing continuous transit over long distances.
- **ELD Device:** Electronic Logging Device tracking real-time driving hours for safety

6. REGULATORY COMPLIANCE & LEASE-ON OPERATIONS

FMCSA & MC AUTHORITY DEFINITIONS

FMCSA: Federal Motor Carrier Safety Administration (governing body regulating road safety).

MC Number: Motor Carrier number required for interstate commercial truck operations.

LEASE-ON OPERATING MODEL (IF NO MC)

When a carrier does not possess an active MC authority, they can **Lease-On** under the dispatch company's active MC authority.

Requirements: Driver's License, COI listing company as holder ($750K–$1M Auto Liability), and lease agreement.

7. PAYMENT METHODS & FINANCIAL ARCHITECTURE

A. Freight Broker Payment Structures (To Carrier)

PAYMENT OPTION	PROCESSING TIMELINE	DEDUCTION / FEE	DOCUMENTATION & NOTES
Standard Pay	24 to 28 Days	0% (Full Pay)	Standard broker payment terms
Quick Pay	3 to 4 Days	3% – 4% Deducted	Requires submission of a **Voided Check**
Factoring Company	Within 24 Hours	5% – 6% Deducted	3rd-party firm; requires **Notice of Assignment (NOA)**
Fuel Advances	24 to 48 Hours	Direct Cash Advance	No fuel card given; funds wired within 24–48 hrs

B. Dispatcher Commission & Fee Structure (Charged to Carrier)

1. FLAT RATE PRICING

- **Box Truck / Hot Shot:** $250 – $300 per week
- **Semi Truck / Power Only:** $300 – $350 per week

2. PERCENTAGE / COMMISSION

- **Box Truck & Hot Shot:** 8% to 10% per load
- **Semis & Power Only:** 8% to 10% per load
- *Closing Strategy:* Standard target commission is **10%**.

8. U.S. OPERATIONAL TIME ZONES

Dispatch operations coordinate across four major U.S. time zones:

PACIFIC TIME (PT)	MOUNTAIN TIME (MT)	CENTRAL TIME (CT)	EASTERN TIME (ET)
Base Line	**+1 Hour**	**+2 Hours**	**+3 Hours**